

Palantir Technologies Inc.

PLTR NYSE

Hold	\$120.34 ▼ 1.57%	12M Price Target \$130.00	52-Week Range \$106.37 – \$207.52	Market Cap \$288.49B
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PLTR: Bleeding Into Earnings, Bearish Options Flow Building

WHAT HAPPENED

- PLTR is down 4 days in a row heading into Aug 4 earnings — the stock dropped from \$131 to \$120, and today's volume is tiny (7.7M vs 40M+ earlier this week), which tells me buyers are stepping aside rather than sellers panicking. That's a "wait and see" tape.
- The Motley Fool "plunge" headline plus a Barchart piece questioning Wall Street's stance suggests the narrative is shifting from "unstoppable" to "can they actually deliver?" — sentiment is cooling right when expectations are highest.

WHY IT MATTERS

Here's what I think is really going on: the market is derisking ahead of Monday's earnings because PLTR needs to deliver its 12th straight quarter of accelerating revenue to justify a ~190x forward P/E (meaning investors are paying \$190 today for every \$1 of profit the company will make next year — insanely expensive). The bearish options flow (put/call ratio of 0.45 with unusual put buying at \$210 and \$220 strikes) tells me big money is buying insurance, not shorting outright — they're worried about a gap-down but still believe long-term. Director Alex Moore dumping \$2M+ of stock in mid-July at ~\$134 now looks prescient, and insider selling with zero buying is never a great look right before earnings. The setup: if US commercial growth accelerates again, the stock rips to \$145+; if it merely "meets," a stock priced this richly gets punished 15-20%.

POLICY & POLITICAL WATCH

The Trump admin's AI executive orders and the ongoing FY2027 defense budget markup are straight tailwinds — Palantir is arguably the biggest single beneficiary of the "AI-ify the Pentagon" push, and the Army's TITAN and NGC2 programs keep expanding. Watch for the Senate Armed Services Committee's defense authorization vote in August; any expansion of the Software Acquisition Pathway (which lets DoD buy commercial software faster) directly widens PLTR's moat. The wildcard is the FTC/DOJ posture on AI concentration — if antitrust regulators start scrutinizing sole-source government AI contracts, that's the one policy risk that could actually bite.

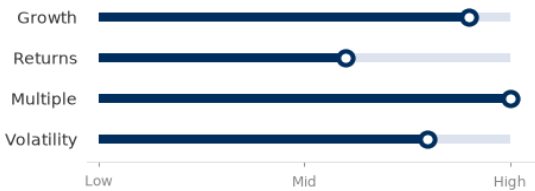
IS IT EXPENSIVE?

This stock trades at roughly 60x forward revenue — meaning investors pay \$60 for every \$1 of sales the company will generate next year. For context, peers like Snowflake and Datadog trade at 12-15x, so PLTR is roughly 4x more expensive than "expensive" software companies. That premium is only justified if revenue growth stays north of 40% AND US commercial keeps compounding at 70%+ — anything less and gravity takes over.

Key Data

Price (USD)	\$120.34
12M Price Target	\$130.00
Upside / (Downside)	+8.0%
Market Cap	\$288.49B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,600M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	194.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$145.00	\$122.00	\$100.00
6 Months	\$165.00	\$130.00	\$95.00
1 Year	\$200.00	\$130.00	\$85.00
2 Years	\$250.00	\$150.00	\$75.00
5 Years	\$400.00	\$220.00	\$60.00
10 Years	\$700.00	\$350.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.87% today, +5.67% week) — money is chasing risk-on names as rate cut hopes build. Defense/AI software still structurally strong from federal spending momentum.

COOLING OFF: Utilities (-3.6% week) and Energy (-1.56%) — classic defensive rotation OUT, which usually means people are getting greedy, not fearful.

ROTATION WATCH: Money is flowing into consumer names and away from bond proxies — that's a "risk-on" signal, but PLTR isn't participating today, which suggests earnings-specific caution rather than sector weakness.

RELATED PLAY: If you like the government AI theme but want less earnings risk, look at the defense primes (LMT, RTX) or data center infrastructure (VRT, ETN) — they benefit from the same spending wave without trading at 60x sales.

WHO'S WINNING IN THIS SPACE?

- ANET (Arista Networks): AI networking infrastructure — benefits from the same hyperscaler + government AI buildout without PLTR's valuation risk.
- AXON (Axon Enterprise): Another government/law enforcement software compounder riding federal + state modernization budgets, with cleaner earnings visibility.

PLTR CONTEXT: PLTR is lagging the broader risk-on move this week (down while Consumer Disc rips) — that's an idiosyncratic (company-specific) weakness signal, not a sector story. It means the market is nervous about THIS earnings print specifically, not AI in general. That's actually a decent setup if they deliver.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business and the political tailwinds, but I hate the setup into earnings at this valuation.

POSITION SIZE: 2-4% of portfolio — this stock can move 15% in a day, so size it where you can sleep if it gaps down Monday.

ENTRY POINTS: I'd wait until AFTER Aug 4 earnings. If they beat and stock dips on "priced for perfection" selling to \$106-115, that's your shot. If they blow it out and rip to \$145, chase carefully or wait for the next pullback.

TIME HORIZON: 12-24 months — the government AI spending cycle is a multi-year story, but expect wild swings quarter to quarter.

WHEN TO BAIL: US commercial growth drops below 60% YoY, they lose a major DoD contract, or CEO Karp changes his tone on demand.

HEDGING: If you already own it heading into earnings, buy an August put around the \$115 strike — it's like paying a small insurance premium so a bad earnings gap doesn't wreck you. Or just trim 25% of your position before Monday and buy it back after.